Policy Brief

Strengthening Fiscal Sustainability

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Executive Summary

Government fiscal balances have deteriorated worldwide over the past decade, with public spending often outpacing revenues. Global public debt levels climbed steadily from 2010 through 2019, then surged sharply in 2020 amid pandemic-related fiscal stimulus. Most countries now run persistent budget deficits, and debt burdens in many advanced and emerging economies are near historic highs. High-debt countries such as Greece, Singapore, the United Kingdom, and the United States carry debt loads well above 100% of GDP, underscoring growing imbalances. These persistent deficits and rising debt pose risks to debt sustainability, as interest costs mount and economic growth remains subdued. Without corrective action, many governments face eroding fiscal space and potential crises, especially as global interest rates rise. This brief analyzes global trends in spending, revenue, and debt from 2010–2025, highlights the prevalence of fiscal deficits and the most imbalanced countries, and examines the implications of sustained deficits on long-term debt sustainability. It concludes with clear policy recommendations to restore fiscal balance. In conclusion, governments must act decisively to rein in deficits and stabilize debt, in order to safeguard economic stability and growth in the coming decade.

Global Trends in Spending, Revenue, and Public Debt (2010–2023)

Over the 2010–2019 period, global public finances experienced modest fluctuations as countries emerged from the late-2000s financial crisis. Government expenditures and revenues were roughly in balance for much of the 2010s, with small deficits or occasional surpluses in many economies. On average, global fiscal balance hovered near zero in the early 2010s, reflecting efforts to consolidate budgets after the crisis. By the mid-2010s, however, slight deficits became more common, and public debt ratios inched upward.

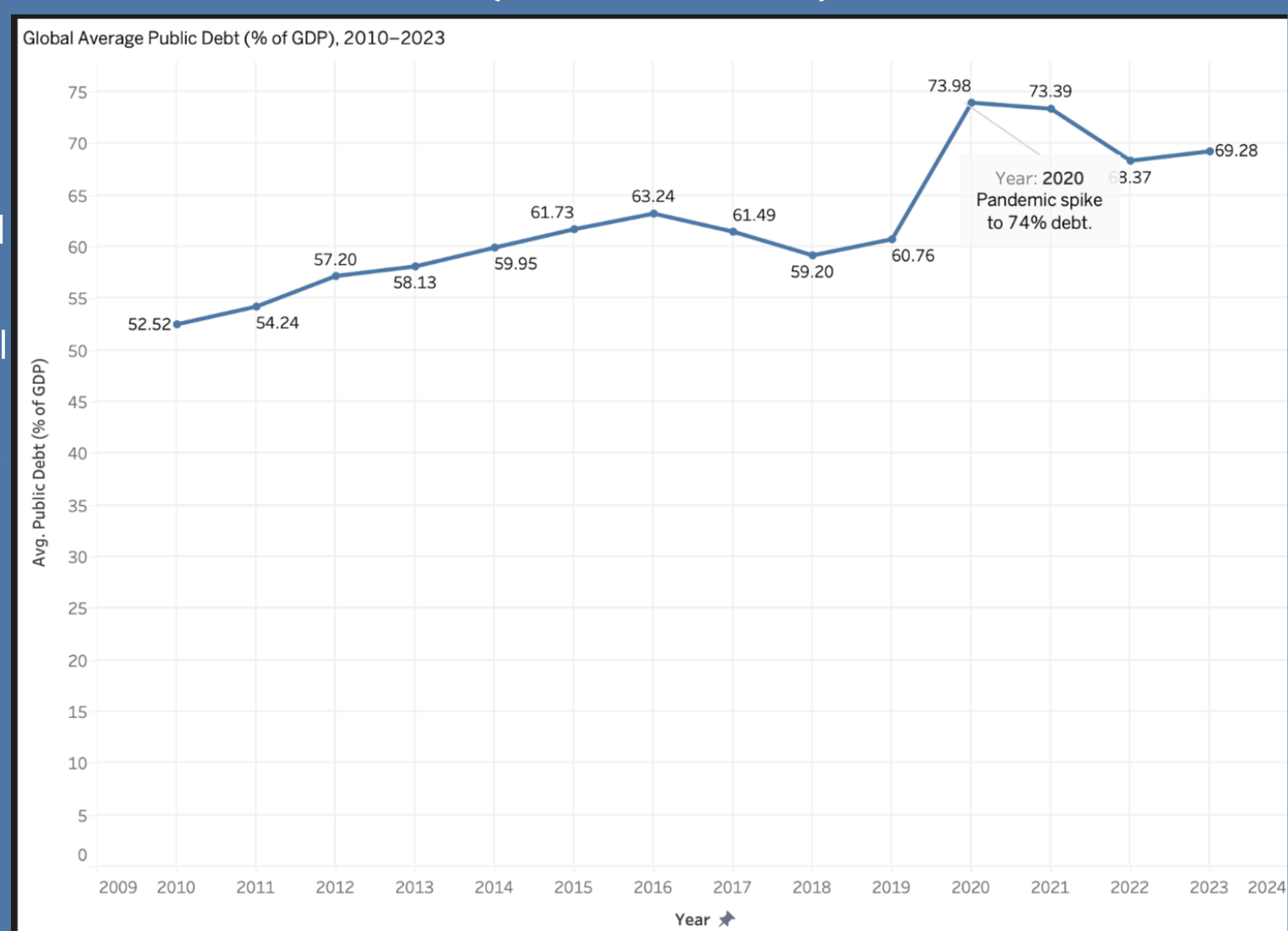


Figure 1. Global Average Public Debt (% of GDP), 2010–2023. Global debt levels rose from an average 52% of GDP in 2010 to about 61% by 2017, as governments modestly increased borrowing. A brief dip in the global debt ratio in 2017–2018 reflected economic growth outpacing debt accumulation, but public debt remained elevated compared to early-decade levels. Heading into 2019, the worldwide average debt-to-GDP stood around 60%, already higher than a decade prior. This long-run upward drift was enabled in part by low borrowing costs through the 2010s, which reduced pressure to tighten budgets. Importantly, 2020 marked an unprecedented fiscal turning point, in response to COVID-19, governments across the world enacted massive stimulus and emergency spending just as revenues dipped among recession. That year, global public debt jumped from ~61% to 74% of GDP, the largest one-year surge on record. Deficits swelled as expenditures spiked while revenues fell to around 26%. In 2021–2022, as economies rebounded, debt ratios edged down slightly from the peak. Many countries withdrew emergency programs and revenue collections improved. By 2023, the global average debt-to-GDP was ~69%, down from the 2020 high but still well above pre-pandemic levels. In summary, the past 15 years saw rising public debt globally, with a dramatic pandemic-era surge that has only partially reversed.

Widespread Fiscal Deficits and Imbalanced Countries

A striking feature of the current global landscape is the widespread prevalence of fiscal deficits. In the wake of the pandemic, the vast majority of countries have returned to deficit spending rather than surplus. For example, in 2022 the average fiscal balance worldwide was about -2.5% of GDP (a deficit). Oil-rich or resource-exporting nations were among the few running significant budget surpluses, whereas most others incurred shortfalls. By 2023, this pattern persisted and in some cases deepened. Among OECD advanced economies, the average fiscal balance in 2023 was -4.6% of GDP, with 31 of 37 OECD countries in deficit. Only six OECD countries achieved a surplus that year. This underscores that running a deficit has become the norm across both developed and developing nations. Common causes include higher post-pandemic spending needs (health, social support, defense) alongside revenue growth that has lagged. Many emerging markets and low-income countries face historically low tax-to-GDP ratios, making it challenging to fund expenditures without borrowing.

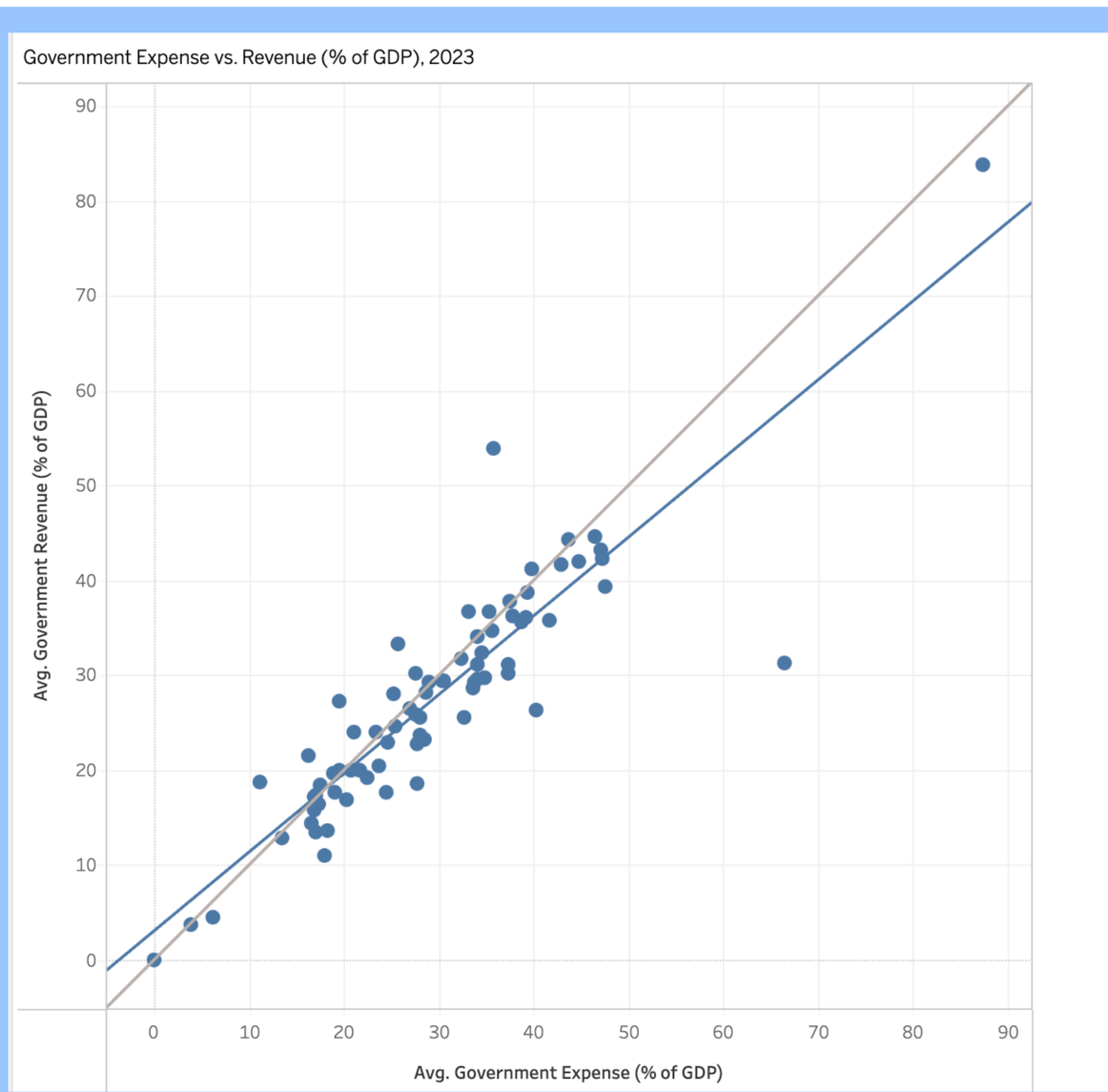


Figure 2. Government Expense vs. Revenue (% of GDP) by Country, 2023. This scatter plot vividly illustrates how pervasive fiscal deficits are across countries. Each point represents a country's public spending and revenue as a share of GDP in 2023. The 45-degree diagonal line indicates balance where revenue equals expenditure. Most countries lie below the diagonal, meaning their spending exceeds revenue. In other words, the majority of governments ran deficits in 2023, often significantly so. We can see clusters of nations around the 20–40% of GDP range for both spending and revenue, but with most points falling under the balance line, signifying a shortfall. A few points above the line correspond to the handful of surplus cases. The scatter highlights that deficits are a nearly universal phenomenon in the current era, affecting large and small economies alike. Even some countries with relatively moderate spending levels still collect insufficient revenue, reflecting structural gaps in tax systems or public sector inefficiencies. This widespread deficit bias contributes to rising debt burdens over time in country after country.

While deficits are ubiquitous, some countries are far more fiscally imbalanced than others, especially in terms of accumulated debt. Years of high borrowing have left a subset of nations with extraordinarily high debt-to-GDP ratios, raising sustainability concerns.

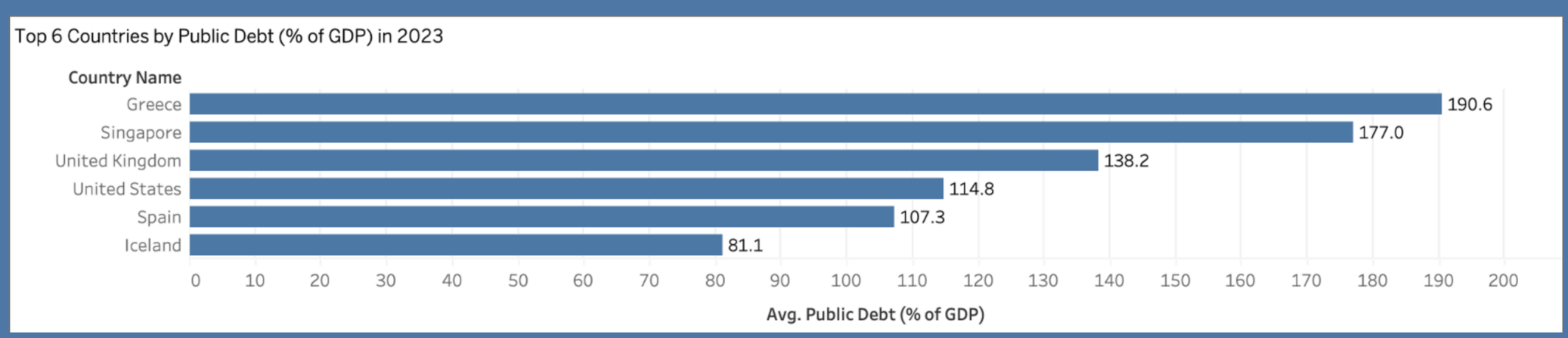


Figure 3. Top 6 Countries by Public Debt (% of GDP) in 2023. This chart shows the six countries holding the highest public debt levels relative to the size of their economies. Greece leads, with debt around 190% of GDP in 2023, a legacy of its past crises and ongoing fiscal pressures. Singapore follows at roughly 177%, reflecting substantial government-linked borrowing. Several large advanced economies also appear: the United Kingdom (~138% of GDP) and United States (~115%) have debt well above their annual GDP, after years of primary deficits and interest compounding. Spain (~107%) likewise exceeds the 100% threshold, due in part to debt accumulated from the eurozone crisis and pandemic recessions. Rounding out the top group is Iceland (~81%), whose debt spiked following its banking crisis and has remained elevated.

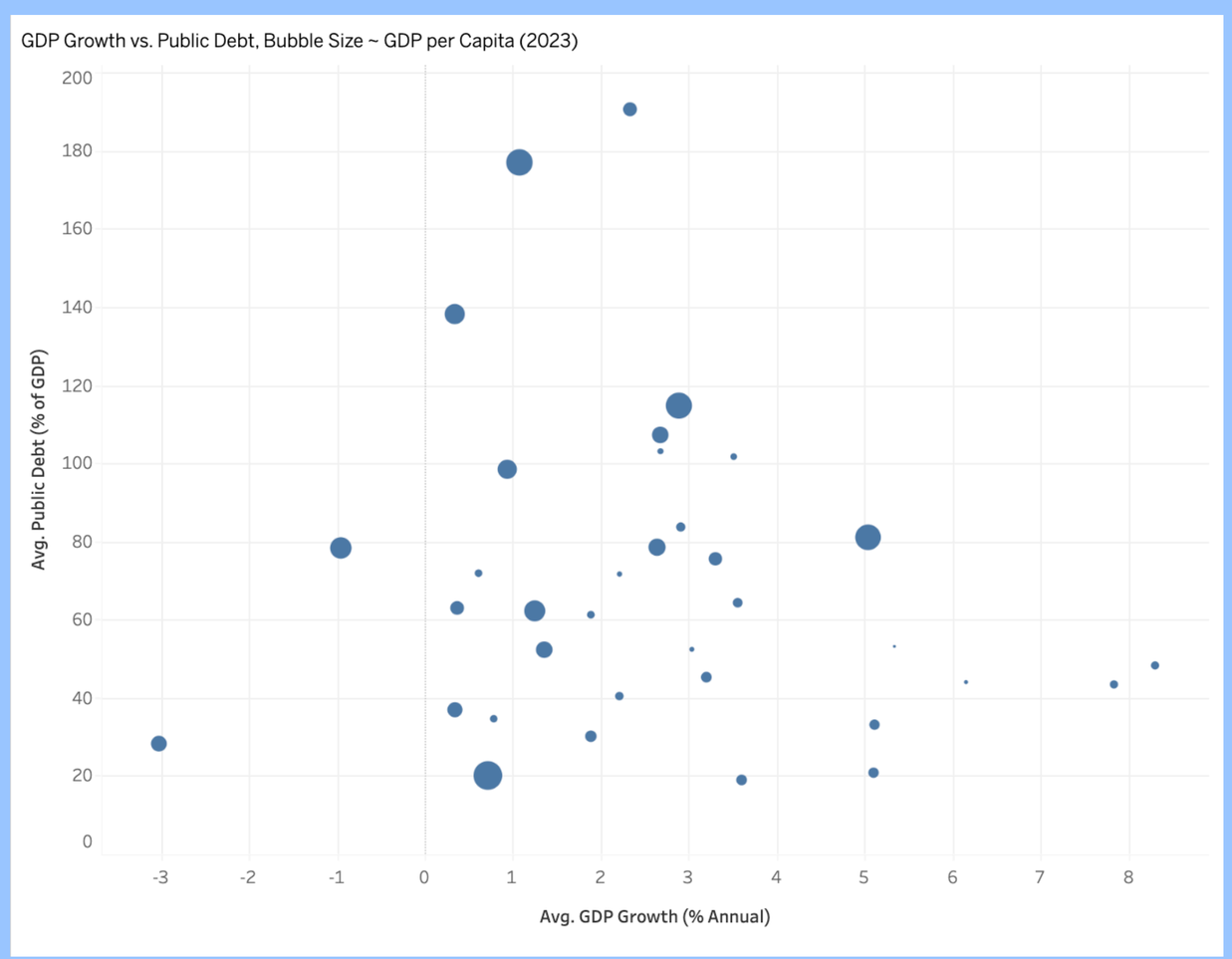
These extremes illustrate the imbalance between spending and resources in certain countries. High debt ratios above 100% of GDP signal that governments have borrowed an entire year's worth (or more) of national output. Such levels are historically unprecedented outside of major wars or depressions, and they pose serious questions about debt sustainability. For emerging economies, thresholds of concern may be even lower. Debt levels that advanced countries tolerate can provoke investor skepticism and credit stress in less-developed markets. In short, a sizeable group of countries is deeply in the red, having accumulated debt far beyond the norm. These cases of fiscal imbalance are a warning of potential fiscal crises if corrective measures are not taken. Persistently high deficits in these nations have translated into debt burdens that may become unsustainable if economic growth falters or financing costs rise further.

Implications of Persistent Deficits for Debt Sustainability

If fiscal deficits remain persistent, the implications for debt sustainability are dire. When governments continuously spend more than they earn, debt piles up year after year, and eventually investors may doubt a country's ability to repay. One immediate consequence is the rising cost of debt service: with global interest rates off historic lows, many countries now face higher borrowing costs on new and rollover debt. The IMF warns that persistently higher interest rates are increasing the cost of servicing debt, adding fiscal pressure and posing risks to financial stability. For high-debt countries, large interest payments take resources away from productive public investments or essential services, creating a vicious cycle of low growth and still-higher relative debt. Several emerging markets already spend over 3% of GDP on interest payments. This gap reflects the risk premium investors demand from borrowers with weaker fiscal positions, and it can widen if deficits remain unchecked.

Another key implication is the potential drag on economic growth. High debt itself does not automatically trigger a crisis, but research indicates it can weigh on a country's growth prospects over time. Empirical studies generally find that heavier public debt is associated with somewhat slower GDP growth rates. For example, one meta-analysis estimates that each 10 percentage-point increase in the debt-to-GDP ratio is linked to about a 0.15 percentage point reduction in annual growth, on average. The reasons are because large public debts can crowd out private investment, create uncertainty about future taxation or inflation, and limit the fiscal space for stimulus during downturns. While there is no rigid "debt threshold" that applies universally, very high debt levels heighten the risk of a fiscal crisis if investor confidence erodes. We have seen this in past sovereign debt crises, where markets suddenly demand higher yields or refuse to roll over loans, forcing painful adjustment. Countries with persistent deficits and rising debt also have less buffer to absorb shocks whether a global recession, banking crisis, or natural disaster, any new emergency could push a fragile fiscal position into turmoil.

Figure 4. GDP Growth vs. Public Debt in 2023 (bubble size indicates GDP per capita). This bubble chart explores the relationship between economic growth and debt burdens across countries. Several observations emerge. Many high-debt countries experienced relatively low growth rates. For example, we see a cluster of countries with debt above indicating that heavy debt loads are often accompanied by slow economic performance. Some outliers with extreme debt had only modest growth in 2023, suggesting challenges in reducing those debt ratios. Conversely, countries with faster growth mostly have moderate debt levels in the 50–80% range. Notably, no clear one-to-one correlation exists, a few nations with high debt still achieved decent growth, and some low-debt nations struggled, but the overall pattern raises concerns. When debt is very high, even average growth may not suffice to stabilize or reduce the debt burden, especially if interest rates climb. The bubble sizes also reveal that many wealthy countries carry significant debt yet can manage for now, whereas smaller, lower-income countries with high debt are particularly vulnerable. The combination of high debt and low growth is a recipe for unsustainability, as it becomes politically and economically difficult to devote ever-larger portions of a stagnant economy to debt service. Persistent deficits in a low-growth environment therefore push debt ratios upward until a tipping point is reached. This shows why restoring fiscal balance is critical for long-term debt sustainability, because without action, debt will continue to outpace GDP in many nations, eventually hitting limits of market tolerance.



Policy Recommendations for Restoring Fiscal Balance

Addressing fiscal imbalances on a global scale will require concerted policy action. Governments need to adopt strategies that curb chronic deficits and stabilize debt dynamics, while still supporting economic development. Below are key recommendations for restoring fiscal balance, aimed at policymakers in both advanced and developing economies:

Enact and enforce legal fiscal rules

- Medium-term debt-to-GDP ceilings (e.g., 60–70%) with limited escape clauses
- Annual deficit limits (e.g., ⩽3% of GDP) backed by independent fiscal councils

Strengthen revenue mobilization

- Broaden tax bases (VAT, income, property) and eliminate unnecessary exemptions
- Digitalize tax administration and bolster compliance/enforcement

Reprioritize and rationalize public spending

- Phase out ineffective subsidies and reallocate savings to infrastructure, education, and health
- Implement efficiency targets or expenditure limits for government agencies

Plan and execute gradual fiscal consolidation

- Commit to a transparent multi-year deficit-reduction path tied to realistic policies
- Communicate benefits and protect vulnerable groups during the adjustment process

Empower Debt Management Offices (DMOs)

- Build capacity in risk analytics, cash forecasting, and liability benchmarking
- Centralize debt issuance and optimize borrowing strategies

Leverage concessional and innovative financing

- Secure low-cost, long-tenor loans from multilateral partners for vulnerable economies
- Deploy debt-for-nature or debt-for-climate swap mechanisms to link relief with sustainable goals

Enhance fiscal transparency and accountability

- Publish regular, detailed debt and budget reports with third-party audits
- Develop citizen-friendly platforms and engage stakeholders to monitor progress

By pursuing these recommendations, governments can begin to close the gap between spending and revenue and put debt on a safer trajectory. The mix of policies will vary by country, advanced economies might focus more on entitlement reform and tax base broadening, while developing countries prioritize revenue capacity and efficient spending, but the objective is the same: achieving fiscal sustainability without stopping economic prosperity.

Conclusion

In conclusion, the time to act is now. Policymakers should treat fiscal sustainability as foundational to economic prosperity and social well-being. This means making difficult but necessary choices: saving during good times, prioritizing effective programs, and ensuring everyone pays a fair share. With the global public debt ratio projected to approach 100% of GDP by decade's end, there is little room for complacency. Governments at all income levels must summon the political will to put their fiscal house in order, before unsustainable debt translates into crisis. By restoring balance, reducing deficits to stabilize or lower debt ratios, countries will not only prevent risks but also rebuild fiscal space to invest in the future. The payoff will be greater economic resilience, lower financial vulnerabilities, and improved capacity to support citizens in the years ahead. Finally, restoring global fiscal balance is essential for sustained stability and growth, and the policy tools to achieve it are at hand. It is mandatory upon leaders to use them, ensuring that post-pandemic fiscal legacies do not risk tomorrow's prosperity.

Dashboard

Purpose:

The interactive dashboard brings together all four core views, global debt trend, top-debted countries, fiscal balance, and debt-growth dynamics, into one unified interface.

Interactivity Features:

- Top-N Filter on Bar Chart
- Click-to-Highlight / Cross-Filter
- Tooltips & Detail Pop-Ups

Link:

https://us-west2b.online.tableau.com/t/lis407/views/FinalProject_twbx/Dashboard1

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